

FirstFT World

FirstFT: US inflation data buoys global markets

Also in today's newsletter, France, Germany and the UK consider Iran sanctions, and Bolivia's Sunday election



People walk in front of an electronic board displaying the Nikkei Stock Average as Japanese stocks rise to a record on Wednesday © AFP via Getty Images

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Good morning and welcome to FirstFT. Today we'll be covering:

The rally in global markets

The loss of Russia experts in Washington

Bolivia's Sunday election

And Sam Altman's latest challenge to Elon Musk

Steady US inflation data and the extension of a trade truce between Washington and Beijing buoyed global stocks today, as traders raised bets that the Federal Reserve would cut interest rates next month.

Japan's benchmark Topix closed to an all-time high, while Taiwan's Taiex and South Korea's Kospi both strengthened. The Stoxx Europe 600 climbed 0.4 per cent and the FTSE 100 rose 0.3 per cent in early trading.

Why this matters: The unexpectedly benign inflation reading has lifted investor sentiment by [defying expectations](#) that President Donald Trump's tariff blitz would drive up US price pressures. Asian markets have rallied in part on expectations of continued robust US demand for the region's semiconductor exports.

Opinion: Markets are bending the knee to Trump, which could [spur more reckless economic policymaking](#), writes markets columnist Katie Martin.

Here's what else we're keeping tabs on today:

Economic data: The International Energy Agency releases its [oil market report for the month](#). Canada releases minutes from its most recent interest rate-setting meeting, while the US has labour market data.

Results: Balfour Beatty, Cisco Systems, CLS Holdings, Eon, Ørsted, Persimmon, PKO BP, Sixt, Straumann, Tencent, Tui, Vestas and Wienerberger report earnings. See our Week Ahead newsletter for [the full list](#).

Five more top stories

1. Trump's purging of the US federal workforce has hollowed out the number of knowledgeable [Russia specialists in Washington](#), sparking concern ahead of his meeting with Russian President Vladimir Putin in Alaska on Friday. The National Security Council, which would typically lead preparations for summits, is grappling with the loss of dozens of experts on staff after they were fired in May.

The White House has downplayed expectations of a truce at the Alaska summit, with press secretary Karoline Leavitt saying that the meeting would be a “[listening exercise](#)”.

2. France, Germany and the UK have told the UN they are prepared to reimpose sanctions on Iran unless it resumes negotiations over its nuclear programme. The foreign ministers of the three countries — known collectively as the E3 — said they were prepared to trigger the “snapback” sanctions mechanism [unless the Islamic republic took action](#).

3. Asset managers specialising in catastrophe bonds are fighting a threat to curb retail access to the fast-growing market, as surging sales of the assets give small investors a way to bet on the likelihood of big natural disasters. Here are the companies that had urged regulators to support keeping “cat” bonds in funds [available to the broader public](#).

4. US Republicans are abstaining from alcohol at record levels, as the nationwide drinking rate of Americans [plummeted to a nearly 90-year low](#), according to polling group Gallup. Just 46 per cent of self-identified Republicans reported drinking this year, a decline of almost one-third from 2023.

5. OpenAI and its co-founder Sam Altman are preparing to back a company that will compete with Elon Musk's Neuralink by connecting human brains with computers, heightening the rivalry between the two billionaire entrepreneurs. Read more on Merge Labs, which is raising [new funds at a \\$850mn valuation](#).

CoreWeave dip: The artificial intelligence data centre operator's shares dropped as much as 11 per cent in after-hours trading yesterday, after the company reported [bigger than expected second-quarter losses](#).

The Big Read



For UK Prime Minister Sir Keir Starmer and French President Emmanuel Macron, the prospect of the Bayeux Tapestry 'coming home' is a powerful reminder of the ties that bind the UK and France © FT montage/Getty Images/Bayeux Tapestry Museum

The Bayeux Tapestry recalls a defining moment in England's history. After more than 900 years it is set to return to Britain in an agreement hailed as evidence of warming Anglo-French ties. Yet the story behind the landmark cultural deal is itself a saga, only coming to fruition after diplomatic work at the highest level. Here's how the Bayeux Tapestry has come to embody [soft power at work](#).

We're also reading...

Data trust issues: Trump's nominee for Bureau of Labor Statistics chief, EJ Antoni, [has sparked alarm](#) among investors worried about the politicisation of important market data.

UN plastics treaty: Obstruction tactics are delaying efforts towards a [legally binding agreement](#) to address plastic pollution, writes Pilita Clark.

Diplomatic thaw: Improving relations between London and Beijing have [energised British businesses](#) in the world's second-largest economy.

Gaza rift deepens: Two Israeli government ministers have [lashed out at the head of the country's army](#), as a spat between the nation's political and military leadership intensifies.

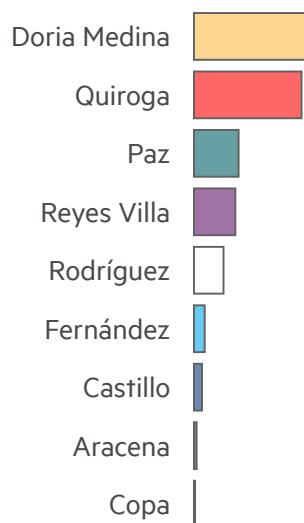
Chart of the day

Sunday will bring Bolivia's most open election since 2006. Pollsters suggest the opposition has its best chance of winning in 20 years, as anger at the country's leftwing government reaches fever pitch. [Thomas Graham reports from La Paz](#).

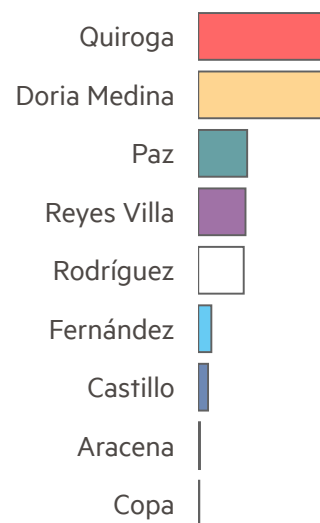
Three Bolivian pollsters agree that **Samuel Doria Medina** and **Jorge Quiroga** are the frontrunners for the presidency

Voting intention (%)

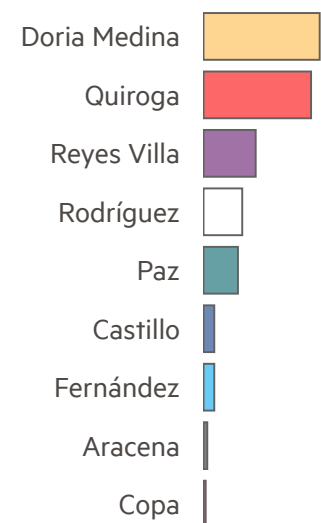
Ipsos Ciesmori (Aug 6)



Spie (Aug 4)



Captura Consulting (Aug 3)



Sources: [Unitel](#), [El Deber](#), [Red Uno](#)

Dates shown indicate the final day of fieldwork. All polls' sample size = 2,500

FINANCIAL TIME

Take a break from the news...

Meet the migrants who chose life in the Arctic. Despite life-threatening winters, a town of about 3,300 people thrives in Inuvik, Canada — complete with [the world's northernmost mosque and an igloo-shaped church](#).



The Midnight Sun Mosque in Inuvik © Cole Burston/AFP/Getty Images

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